

SECURITIES AND EXCHANGE BOARD OF INDIA
CORPORATION FINANCE DEPARTMENT, MUMBAI
SEBI/HO/CFD/PoD-1/P/CIR/2024/152

September 23, 2024

Framework for Social Stock Exchange (SSE) - Registration and Instrument Issuance

1. Social Stock Exchange Ecosystem: The Social Stock Exchange (SSE) functions as a separate segment of recognized stock exchanges, enabling Social Enterprises to raise capital for public welfare activities across 16 eligible social sectors, including poverty eradication, health, education, and environmental sustainability.
2. Eligible Social Enterprises: Entities eligible to register on the SSE include Non-Profit Organisations (NPOs) and For-Profit Social Enterprises (FPSEs). To be eligible, at least 67 percent of the entity's revenues or activities in the preceding three years must be directed towards serving target underserved populations.
3. Zero Coupon Zero Principal (ZCZP) Instruments: NPOs registered on the SSE may raise funds through the issuance of Zero Coupon Zero Principal (ZCZP) instruments. ZCZP instruments carry no interest or coupon payments and have no principal repayment obligations.

4. Issue Size and Subscription Limits: The minimum issue size for issuance of ZCZP instruments on the Social Stock Exchange is fifty lakh (INR 50,00,000). The minimum application size for both retail and institutional investors is rupees ten thousand (INR 10,000).
5. Social Audit Requirement: All social enterprises registered on or listed on the SSE must undergo an annual Social Audit conducted by an independent Social Audit Firm employing certified Social Auditors empanelled with the Institute of Social Auditors of India (ISAI). The Social Audit Report must be submitted to the stock exchange within 60 calendar days from the end of each financial year.
6. Validity of NPO Registration: NPO registration on the SSE remains valid for three years and is renewable upon submission of an annual report.

7. Annual Impact Report Contents: The Social Audit Report must evaluate strategic intent, social problem addressed, systemic theories, input-output ratios, and qualitative feedback from beneficiaries. It must verify whether target outcomes were achieved.
8. For-Profit Social Enterprises (FPSEs): FPSEs may raise equity capital through public issuance on the Main Board or SME PL securities, while voluntarily adhering to the Social Audit and reporting frameworks of the SSE.
9. Development Impact Bonds (DIBs): NPOs may participate in DIB structures where funding is provided upfront by risk investors. Outcome Funders upon independent verification of social milestones achieved.

10. De-Registration from SSE: An NPO may be delisted from the Social Stock Exchange if it fails to submit annual social audit report for two consecutive financial years or if its tax exemption under Section 12A/12AB of the Income Tax Act is cancelled.
11. Minimum Public Float: NPOs issuing ZCZP instruments must ensure that the minimum public float is achieved within thirty days of the listing.
12. Governing Board Requirements: The governing board of an NPO listed on the SSE must comprise at least three trustees or directors, none of whom shall be a family member controlling more than fifty percent of voting rights.

Yours faithfully,
(Yogita Jadhav)
General Manager